

Performance Evaluation, Promotion & Career Progression Framework

CATEGORY	General Guidelines & Workplace Standards	EFFECTIVE DATE	January 1, 2026	REVIEW CYCLE	Annual / Q4
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Article 1. Performance Philosophy & Core Assessment Competencies

At Nexus Corporation, performance management is designed to foster professional growth, recognize excellence, and cultivate leadership.

Our assessment architecture assesses both 'What' you accomplish (business deliverables) and 'How' you accomplish it (cultural alignment).

Evaluation Dimension	Core Focus	Weighting
Objective Goal Attainment (OKRs)	Tangible business impact and technical execution	50% of Overall Rating
Leadership & Values Demonstration	Collaboration, empathy, mentorship, transparency	30% of Overall Rating
Continuous Learning & Adaptability	Mastery of new skills and process modernization	20% of Overall Rating

- Every employee establishes quarterly Objectives & Key Results (OKRs) aligned directly with corporate strategy.
- Managers and team members conduct mandatory bi-weekly 1-on-1 check-ins to track progress and unblock roadblocks.

REGULATORY MANDATE & REQUIREMENT:
Performance is evaluated on sustained demonstrated results over time, avoiding recency bias through continuous documentation.

Article 2. Biannual Performance Appraisal & 360-Degree Review Process

Formal performance appraisals take place twice per calendar year: Mid-Year Review in June and Year-End Review in December. The appraisal incorporates 360-degree feedback from managers, direct reports, and cross-functional peers.

Review Component	Timeline Window	Participant Responsibility
Self-Evaluation	June 1-7 & Dec 1-7	Comprehensive assessment of personal deliverables
Peer Reviews (3 to 5 peers)	June 8-15 & Dec 8-15	Objective, constructive cross-functional feedback
Manager Synthesis & Rating	June 16-22 & Dec 16-22	Performance score formulation and narrative draft
Calibration Sessions	June 23-30 & Dec 23-30	Department-wide score normalization across teams

- Peer reviews are required from a minimum of 3 peers who have collaborated closely during the evaluation period.
- Calibration ensures equitable standards across departments so ratings reflect consistent organizational benchmarks.

REGULATORY MANDATE & REQUIREMENT:

Review meetings must be conducted in person or via video conference; delivering formal performance ratings over email is strictly prohibited.

Article 3. Performance Rating Scale & Merit Increase Linkage

Our five-tier rating taxonomy clearly communicates standing and directly informs compensation adjustments. Annual merit increases and equity refresher grants take effect on February 1st following year-end calibrations.

Rating Tier	Performance Definition	Target Distribution Band
Tier 1: Exceptional Impact	Consistently surpasses high expectations across all axes	Top 10% of Workforce
Tier 2: Exceeds Expectations	Frequently delivers above targets; strong culture champion	Next 25% of Workforce
Tier 3: Strong Contributor	Fully meets and delivers on core competencies	Core 50% of Workforce
Tier 4: Needs Improvement	Inconsistent deliverables; misses deadlines or quality	Bottom 10% of Workforce
Tier 5: Unsatisfactory	Fails to meet basic role requirements; PIP required	Bottom 5% of Workforce

- Merit increases are weighted toward Tier 1 and Tier 2 performers to reward outsized contributions.
- Annual bonus pools are determined by corporate financial achievement multiplied by individual performance multipliers.

REGULATORY MANDATE & REQUIREMENT:

Rating distributions are guidelines to prevent grade inflation; exceptions are reviewed and signed off by the Executive Leadership Team.

Article 4. Promotion Criteria, Career Ladders & Leveling Architecture

Nexus Corporation maintains transparent career ladders outlining explicit expectations across Individual Contributor (IC) and Manager tracks.

Promotions are granted based on demonstrated sustained performance at the next leveling band.

Career Track	Level Progression	Key Milestone Expectation
IC Track (IC1 to IC3)	Associate to Senior	Independent execution, technical excellence, project delivery
IC Track (IC4 to IC6)	Staff to Principal Fellow	Cross-team architecture, organizational strategy, industry leadership
Management Track (M1 to M4)	Manager to VP	Talent development, team velocity, strategic execution, hiring

- To be nominated for promotion, an employee must have demonstrated performance at the next level for at least 6 consecutive months.
- Parallel Tracks: The Individual Contributor track reaches parity with Executive Vice President levels without requiring management transition.
- Promotion packages require sponsorship from your Department Director and review by the Promotion Committee.

REGULATORY MANDATE & REQUIREMENT:

Promotions take effect twice annually on February 1st and August 1st following the conclusion of review cycles.

Article 5. Performance Improvement Framework (PIP) Guidelines

When an employee demonstrates persistent underperformance, a structured Performance Improvement Plan (PIP) is deployed. The primary objective of a PIP is to provide clear, actionable coaching to guide the employee back to successful contribution.

PIP Milestone	Timeline Horizon	Actionable Deliverable
Day 1: Plan Initiation	Document Sign-off	Manager, HR, and employee align on SMART metrics
Day 30: First Checkpoint	Formal Progress Review	Written evaluation of milestone completion
Day 60: Midpoint Assessment	Formal Progress Review	Determination of trajectory and required adjustments
Day 90: Final Determination	Plan Conclusion	Successful graduation or transition to separation

- Standard PIP duration is 30, 60, or 90 calendar days depending on role complexity and previous coaching history.
- Weekly 1-on-1 coaching meetings between the manager and employee are mandatory throughout the plan.
- People Operations serves as an impartial facilitator to ensure metrics are reasonable, attainable, and clearly defined.

REGULATORY MANDATE & REQUIREMENT:

Successful completion of a PIP permanently resets the employee to good standing; however, re-entering underperformance within 12 months triggers immediate separation.

Article 6. Continuous Feedback, Upward Reviews & Professional Coaching

Annual reviews should never contain surprises. Ongoing open communication ensures expectations remain synchronized. Managers are also evaluated by their team members through confidential Upward Feedback surveys.

Feedback Channel	Frequency	Impact on Organization
Bi-weekly 1-on-1 Check-ins	Every 2 Weeks (30-45 mins)	Continuous coaching, goal unblocking, career growth
Upward Manager Feedback	Biannually (Anonymous)	Identifies leadership coaching opportunities
Internal Mentorship Program	Quarterly Cohorts	Pairs rising talent with senior engineering & business leaders

- Every manager is expected to allocate dedicated time for bi-weekly 1-on-1s without habitual rescheduling.
- Employees may request confidential coaching sessions with our internal Leadership Development team.
- Questions or disputes regarding performance ratings should be directed to your People Partner.

REGULATORY MANDATE & REQUIREMENT:

A culture of candor requires that praise be shared publicly and constructive critique be delivered privately with empathy.